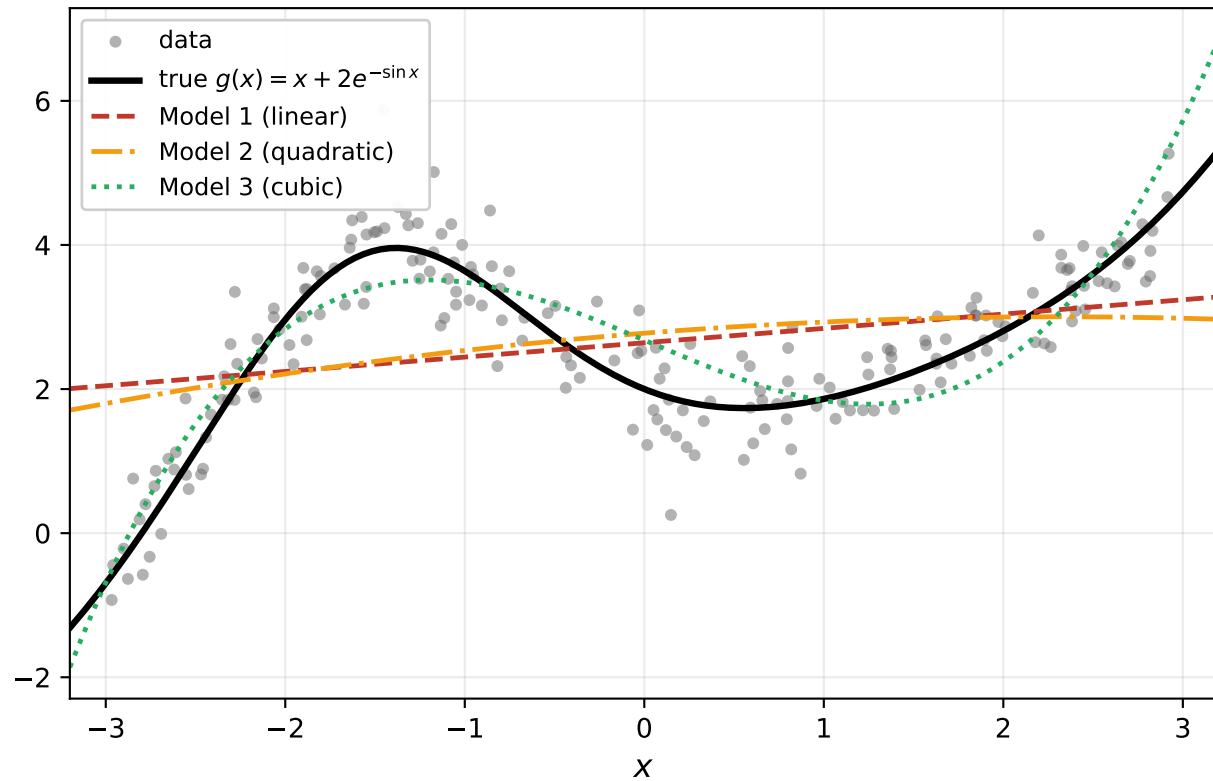


Zhou Example 1.2: parametric misspecification vs. nonparametric flexibility

Polynomial OLS: cannot capture oscillation



Nonparametric NW: tracks g without functional form

